

SECTION A: TRUE OR FALSE

Write TRUE or FALSE for each statement.
University Made for YOU

0923093416



Q1. Scarcity only affects poor countries, not rich countries.

Printed: 10 Sep 2019 [1 mark]

Answer: ☐ TRUE ☒ FALSE ✓ False

Q2. The Production Possibilities Frontier (PPF) shifts outwards when there is economic growth.

[1 mark]

Answer: ☐ TRUE ☒ FALSE ✓ True

FINAL EXAMINATION

Q3. In a command economy, market forces of supply and demand determine prices.

[1 mark]

Answer: ☐ TRUE ☒ FALSE ✓ False

Subject: Economics

Course: Econ1011

Q4. The Law of Demand states that price and quantity demanded have an inverse relationship.

[1 mark]

Year: 2019

Answer: ☐ TRUE ☒ FALSE ✓ True 120 minutes

Total Marks: 30

Q5. In the circular flow model, households produce goods and services.

[1 mark]

Answer: ☐ TRUE ☒ FALSE ✓ False

Q6. GDP measures production within a country's borders, while GNP measures production by citizens.

[1 mark]

Answer: ☐ TRUE ☒ FALSE ✓ False

Q7. Inflation is a sustained DECREASE in the general price level.

[1 mark]

Answer: ☐ TRUE ☒ FALSE ✓ False

Q8. Perfect competition achieves allocative efficiency ($P = MC$) in the long run.

[1 mark]

Answer: ☐ TRUE ☒ FALSE ✓ True

STUDENT INFORMATION

Full Name: _____

Student ID: _____

Phone: _____

Good Luck! ■



SECTION B: MULTIPLE CHOICE

Choose the best answer. Circle A, B, C, or D.

Q9. The fundamental economic problem is:

[1.5 marks]

- ☐ Inflation
- ☐ Scarcity
- ☐ Unemployment
- ☐ Poverty

Answer:



✓ B) Scarcity

Q10. Examine the PPF diagram. Point A (on the curve) represents:

[1.5 marks]

- ☐ Inefficient (resources underutilized)
- ☐ Unattainable (beyond capacity)
- ☐ An efficient production level
- ☐ Economic recession

Answer:



✓ C) An efficient production level

Q11. Opportunity cost is BEST defined as:

[1.5 marks]

- ☐ The total cost of all alternatives
- ☐ The value of the next best alternative forgone
- ☐ The money spent on a purchase
- ☐ The cost of production

Answer:



✓ B) The value of the next best alternative forgone

Q12. In a CAPITALIST economy, basic economic questions are answered by:

[1.5 marks]

- ☐ Central government planning
- ☐ Market forces of supply and demand
- ☐ Traditional customs
- ☐ International organizations

Answer:



✓ B) Market forces of supply and demand



SECTION B: MULTIPLE CHOICE (continued)

Q13. If consumer INCOME DECREASES (for a normal good), what happens to demand?

[1.5 marks]

- ☐ Demand increases (shifts right)
- ☐ Demand stays the same
- ☐ Demand decreases (shifts left)
- ☐ Quantity demanded increases

Answer: ☐ ☐ ☐ ☐

✓ C) Demand decreases (shifts left)

Q14. Given $Q_d = 100 - 2P$ and $Q_s = 20 + 2P$, what is the equilibrium quantity?

[1.5 marks]

- ☐ 40 units
- ☐ 60 units
- ☐ 80 units
- ☐ 100 units

Answer: ☐ ☐ ☐ ☐

✓ B) 60 units

Q15. When price is ABOVE equilibrium, the result is:

[1.5 marks]

- ☐ Shortage
- ☐ Surplus
- ☐ Perfect equilibrium
- ☐ Market failure

Answer: ☐ ☐ ☐ ☐

✓ B) Surplus

Q16. If price increases by 10% and quantity demanded decreases by 20%, demand is:

[1.5 marks]

- ☐ Inelastic ($PED < 1$)
- ☐ Unit elastic ($PED = 1$)
- ☐ Elastic ($PED > 1$)
- ☐ Perfectly inelastic

Answer: ☐ ☐ ☐ ☐

✓ C) Elastic ($PED > 1$)



SECTION B: MULTIPLE CHOICE (continued)

Q17. A MONOPOLY is characterized by:

[1.5 marks]

- ☐ One seller, no close substitutes
- ☐ Many sellers, identical products
- ☐ Few firms, interdependence
- ☐ Many firms, differentiated products

Answer:



✓ A) One seller, no close substitutes

Q18. NDP (Net Domestic Product) equals:

[1.5 marks]

- ☐ GDP + Depreciation
- ☐ GDP - Depreciation
- ☐ GDP × Depreciation
- ☐ GDP / Depreciation

Answer:



✓ B) GDP - Depreciation

Q19. The unemployment rate formula is:

[1.5 marks]

- ☐ $\text{Unemployed} / \text{Total Population} \times 100$
- ☐ $\text{Unemployment rate} = \text{Unemployed} / \text{Labor Force} \times 100$
- ☐ $\text{Employed} / \text{Labor Force} \times 100$
- ☐ $\text{Labor Force} / \text{Population} \times 100$

Answer:



✓ B) Unemployment rate = Unemployed / Labor Force × 100

Q20. Examine the diagram. When AD shifts right, what type of inflation occurs?

[1.5 marks]

- ☐ Cost-push inflation
- ☐ Deflation
- ☐ Demand-pull inflation
- ☐ Stagflation

Answer:



✓ C) Demand-pull inflation



SECTION B: MULTIPLE CHOICE (continued)

Q21. A firm sells 500 units at 20 Birr. Price falls to 15 Birr, quantity rises to 700. What is PED?

[1.5 marks]

- ☐ 0.8
- ☐ 1.6
- ☐ 2.5
- ☐ 0.4

Answer:



✓ B) 1.6

Q22. In a market economy, "consumers are kings" refers to:

[1.5 marks]

- ☐ Government control
- ☐ Consumer sovereignty
- ☐ Producer dominance
- ☐ Central planning

Answer:



✓ B) Consumer sovereignty

Q23. Government decisions about TAXATION and SPENDING are called:

[1.5 marks]

- ☐ Monetary policy
- ☐ Trade policy
- ☐ Fiscal policy
- ☐ Industrial policy

Answer:



✓ C) Fiscal policy

Q24. Monetary policy in Ethiopia is conducted by:

[1.5 marks]

- ☐ Central bank (NBE)
- ☐ Ministry of Finance
- ☐ Parliament
- ☐ Commercial banks

Answer:



✓ A) Central bank (NBE)



SECTION B: MULTIPLE CHOICE (continued)

Q25. Technology replacing workers (e.g., ATMs replacing bank tellers) creates:

[1.5 marks]

- ☐ Frictional unemployment
- ☐ Structural unemployment
- ☐ Cyclical unemployment
- ☐ Seasonal unemployment

Answer:



✓ B) Structural unemployment

Q26. If $MRS = 2$, the consumer is willing to give up:

[1.5 marks]

- ☐ 1 unit of Y for 1 unit of X
- ☐ 2 units of Y
- ☐ 0.5 units of Y
- ☐ Nothing

Answer:



✓ B) 2 units of Y

Q27. In the LONG RUN, perfectly competitive firms earn:

[1.5 marks]

- ☐ Zero economic profit
- ☐ Positive economic profit
- ☐ Negative profit (loss)
- ☐ Monopoly profit

Answer:



✓ A) Zero economic profit



SECTION C: SHORT ANSWER

Answer in 3-5 sentences.

Q28. Explain the difference between GDP and GNP. (3 points)

[3 marks]

Q29. Name the TWO main macroeconomic policy instruments and who implements each. (3 points)

[3 marks]

Q30. Distinguish between MITIGATION and ADAPTATION as climate change responses. (3 points)

[3 marks]



END OF EXAMINATION

■ GOOD LUCK! ■

■ EXAM SUMMARY

SECTION A: TRUE OR FALSE Q1-Q8 8 marks

SECTION B: MULTIPLE CHOICE Q9-Q27 28.5 marks

SECTION C: SHORT ANSWER Q28-Q30 9 marks

TOTAL: 30 questions 30 marks

UNIYO - University Made for YOU

■ 0923093416 • ■ t.me/challengepr

■ uniyo-cloud.onrender.com